

Northgate Settlement Services Ltd - Business Plan 2026

1. Executive Summary

Northgate Settlement Services Ltd ('Northgate') seeks authorisation to operate payment clearing and client money custody within the zone. The company was incorporated in 2016 and employs 88 staff across three offices.

Northgate processes an estimated EUR 1.1 billion in annualised settlement volume for 71 institutional clients and has operated under equivalent authorisation in two neighbouring jurisdictions since 2019.

2. Corporate Structure and Ownership

Northgate is a wholly owned subsidiary of Northgate Group NV, incorporated in the Netherlands. Northgate Group NV is owned 62 per cent by Brackenridge Capital Partners LP, registered in Luxembourg, and 38 per cent by the founding management team. Ultimate beneficial owners holding above 10 per cent are identified in Appendix C of this submission, with certified passport and proof of address evidence for each.

The board comprises seven directors, of whom three are independent non-executives. The Chief Risk Officer is a separate appointment from the Chief Executive Officer and reports directly to the board risk committee, which is chaired by an independent non-executive director.

An internal audit function has been in place since 2019, staffed by two full-time auditors reporting to the audit committee. The 2025 internal audit plan and its completion report are provided.

Fit and proper declarations, criminal record certificates and regulatory reference checks have been completed for all nine key function holders.

3. Services and Activities

Core services are payment clearing, settlement netting and client money custody. Settlement runs four times daily against two independent correspondent banks, so that the failure of either does not halt settlement.

Northgate operates its core ledger platform in-house. Cloud infrastructure is contracted directly with two providers under agreements that include right of audit clauses, supervisory access provisions and sub-outsourcing notification requirements.

A documented exit plan exists for each material outsourcing arrangement, specifying the alternative provider, the migration sequence and a tested 90-day exit window. The outsourcing register lists 14 arrangements, of which 4 are classified material and reassessed annually.

No single provider supports more than one critical function.

4. Capital and Funding

Own funds as at 31 December 2025 were EUR 19.4 million against a regulatory requirement of EUR 14.2 million, representing headroom of 36.6 per cent.

The company recorded a profit of EUR 3.8 million in the 2025 financial year, its sixth consecutive profitable year.

Financial statements for 2025 have been audited by Vandermeer & Klaas Registeraccountants and carry an unqualified opinion with no going-concern emphasis. The signed audit report is provided at Appendix A.

A committed revolving credit facility of EUR 8 million with Rijnmond Bank NV was executed on 14 November 2025 and remains undrawn. The executed facility agreement is provided at Appendix B.

5. Technology and Operations

The platform maintained 99.98 per cent availability across the 2025 calendar year. One unplanned outage of 11 minutes occurred in March 2025; the post-incident review and remediation are documented.

Client data is encrypted in transit using TLS 1.3 and at rest using AES-256 with keys held in a hardware security module.

Access to production systems follows least-privilege provisioning through a central directory. Multi-factor authentication is enforced for all accounts. Access recertification is performed quarterly and evidenced.

6. Compliance

Northgate maintains a risk-based anti-money-laundering programme reviewed annually and last updated in February 2026.

A dedicated Money Laundering Reporting Officer was appointed in 2018, reports directly to the board, and holds no operational responsibilities that would compromise independence. A deputy MLRO is appointed.

The compliance function comprises five staff independent of the first line and is subject to annual independent testing by an external firm.